AP Payment Testing Memo

Client	Meridian Capital Group, LLC
Fiscal Year End	—
Period	FY 2025 (January 1 – December 31, 2025)
Source Document	AP Payment Register — FY2025 Export
Source File	meridian_ap_fy2025.csv
Source Context	Exported from Meridian ERP (QuickBooks Enterprise) on Jan 15, 2026
Reference	APT-2026-1023-202
Generated	23rd October 2026
Engagement Practitioner	Sarah M. Chen, CPA
Engagement Reviewer	James R. Whitfield, CPA, CIA
Report Status	Draft

Report generated by Paciolus® Diagnostic Intelligence. Engagement information entered by user.

I. Scope

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Source ... AP Payment Register — FY2025 Export (meridian_ap_fy2025.csv)
Period Tested ... FY 2025 (January 1 – December 31, 2025)
Total Payments Tested ........................... 710
Tests Applied ..................................... 13
Data Quality Score ............................... 92%

Days Payable Outstanding (DPO) ............... 80.1 days
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A DPO of 80 days should be evaluated in the context of the entity's industry and vendor payment terms. DPO norms vary significantly by sector; confirm the appropriate benchmark for this client.

The automated AP payment testing procedures documented in this workpaper were performed on the accounts payable payment detail provided by management for the period under examination. These procedures are designed to identify potential data anomalies that may warrant further investigation by the engagement team. The analysis was performed with reference to the FASB Accounting Standards Codification and applicable professional auditing standards.

Proof Summary

Metric	Value
Data Completeness	92%
Column Confidence	88%
Tests Executed	13
Tests Clear	0
Items for Review	91

II. Methodology

The following automated tests were applied to the AP payment register in accordance with professional auditing standards (ISA 240, ISA 500, PCAOB AS 2401):

Test	Tier	Description
Exact Duplicate Payments	Structural	Identifies payments with identical vendor, invoice number, amount, and payment date.
Missing Critical Fields	Structural	Flags payments missing vendor name, amount, or payment date.
Check Number Gaps	Structural	Flags gaps in sequential check numbering that may indicate voided or missing payments.
Round Dollar Amounts	Statistical	Flags payments at round dollar amounts that may indicate estimates or manipulation.
Payment Before Invoice	Structural	Flags payments made before the invoice date, indicating prepayment errors or fraud.

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Test	Tier	Description
Fuzzy Duplicate Payments	Statistical	Flags payments to the same vendor with matching amounts on different dates within a window.
Invoice Number Reuse	Structural	Flags invoice numbers that appear across multiple vendors, indicating possible fraud.
Unusual Payment Amounts	Statistical	Uses z-score analysis to identify statistically unusual amounts per vendor.
Weekend Payments	Structural	Flags payments processed on weekends, indicating unauthorized or unusual activity.
High-Frequency Vendors	Statistical	Flags vendors receiving an unusually high number of payments in a single day.
Vendor Name Variations	Statistical	Flags similar vendor names that may indicate ghost vendors or deliberate misspellings.
Just-Below-Threshold	Advanced	Flags payments just below approval thresholds and same-vendor same-day splits. Default threshold applied — confirm against client AP authorization matrix before drawing conclusions.
Suspicious Descriptions	Advanced	Flags payments with descriptions containing fraud indicator keywords.

Interpretive Context: The results presented herein reflect automated data analytics and are intended to support, not replace, professional judgment. Identified anomalies may indicate areas requiring additional inquiry but do not, in themselves, constitute evidence of error, fraud, or material misstatement. The engagement team should evaluate each flagged item in the context of the overall engagement risk assessment and perform corroborating procedures as deemed necessary under applicable professional standards.

III. Results Summary

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Composite Diagnostic Score ................. 24.7 / 100
Diagnostic Tier ..................... MODERATE (25/100)
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Diagnostic Score Scale: 0–10 = Low | 11–25 = Moderate | 26–50 = Elevated | 51–100 = High

Basis: automated flag density — auditor judgment required per ISA 315. The diagnostic tier is an indicator, not a risk assessment or a conclusion on internal control.

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Total Payments Flagged ............................ 91
Overall Flag Rate ............................... 12.8%
High Severity Flags ............................... 11
Medium Severity Flags ............................. 27
Low Severity Flags ................................ 53
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Test	Flagged	Rate	Severity
Round Dollar Amounts	34	4.8%	LOW
Weekend Payments	11	1.5%	LOW
Check Number Gaps	8	1.1%	LOW
Vendor Name Variations	7	1.0%	MEDIUM
Fuzzy Duplicate Payments	6	0.8%	MEDIUM
Missing Critical Fields	5	0.7%	MEDIUM

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Test	Flagged	Rate	Severity
Just-Below-Threshold	5	0.7%	HIGH
Unusual Payment Amounts	4	0.6%	MEDIUM
Payment Before Invoice	3	0.4%	HIGH
Suspicious Descriptions	3	0.4%	MEDIUM
Exact Duplicate Payments	2	0.3%	HIGH
High-Frequency Vendors	2	0.3%	MEDIUM
Invoice Number Reuse	1	0.1%	HIGH

IV. Key Findings

1. 2 exact duplicate payments totaling $14,200 to vendor 'Apex Office Solutions'

Suggested follow-up: Confirm whether the entity's AP system has duplicate payment detection controls. For confirmed duplicates, verify the recovery process: credit memo issued, offset applied, or refund received. If no controls exist, document as a control finding.

2. 3 payments processed before invoice date — potential prepayment fraud

Suggested follow-up: Obtain management explanation for each prepayment. Confirm whether a prepayment arrangement was authorized per AP policy and supported by a contract or purchase order. The absence of authorization documentation may indicate a control gap that the engagement team should consider as part of their professional assessment of the AP control environment.

3. 1 invoice number reused across vendors 'Metro Supplies' and 'Metro Supply Co.'

Suggested follow-up: Examine the AP system's duplicate invoice detection controls. Determine whether the reused number was accepted due to a control gap or represents a legitimate multi-line invoice split across vendors.

4. 5 payments just below $10,000 approval threshold on same dates

Suggested follow-up: Obtain approval documentation for each payment. Compare the approval threshold in the current AP policy to the threshold applied in the payment system. Determine whether the clustering of payments just below threshold on the same dates represents intentional threshold avoidance.

V. High Severity Payment Detail

Exact Duplicate Payments (2 flagged)

Vendor	Invoice #	Payment 1	Payment 2	Amount	Check #
Apex Office Solutions	INV-8834	2025-03-15	2025-03-22	$7,100.00	10234
Apex Office Solutions	INV-8834	2025-03-15	2025-03-22	$7,100.00	10291

Pull original invoices and payment documentation for both duplicate payments. Confirm whether the duplicate was identified and recovered. If not recovered, request vendor credit or initiate recovery process. Document resolution.

Payment Before Invoice (3 flagged)

Vendor	Invoice #	Invoice Date	Payment Date	Days Early	Amount
Lakeside Catering	LC-2201	2025-06-10	2025-05-28	13	$4,500.00
QuickShip Logistics	QS-0477	2025-08-01	2025-07-15	17	$12,800.00
DataCore Systems	DC-9910	2025-11-05	2025-10-22	14	$3,200.00

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Evaluate whether pre-payment patterns correlate with specific vendors, buyers, or contract types. A concentration of pre-payments with a single vendor may indicate non-arms-length transactions requiring expanded procedures.

Invoice Number Reuse (1 flagged)

Invoice #	Vendor A	Amount A	Date A	Vendor B	Amount B	Date B
INV-5500	Metro Supplies	$2,340.00	2025-04-12	Metro Supply Co.	$2,340.00	2025-07-19

Obtain both invoices sharing the reused number. Confirm whether the vendors are the same entity operating under different names, or distinct entities. If distinct, investigate how the same invoice number was accepted by the AP system for two different vendors.

Just-Below-Threshold (5 flagged)

Vendor	Payment Date	Amount Paid	Threshold	Below By
Apex Office Solutions	2025-09-30	$9,950.00	$10,000.00	$50.00
Apex Office Solutions	2025-09-30	$9,875.00	$10,000.00	$125.00
DataCore Systems	2025-06-15	$9,990.00	$10,000.00	$10.00
Lakeside Catering	2025-12-20	$9,800.00	$10,000.00	$200.00
QuickShip Logistics	2025-12-20	$9,925.00	$10,000.00	$75.00

Request the entity's approval authority matrix and compare the AP system's configured threshold to the documented policy threshold. Analyze the distribution of payment amounts near the threshold to assess statistical likelihood of deliberate splitting.

Vendor Name Variations (4 pairs)

Vendor A	Vendor B	Similarity	Total Paid A	Total Paid B
Metro Supplies	Metro Supply Co.	91%	$48,200.00	$22,100.00
Apex Office Solutions	Apex Office Soln.	87%	$61,500.00	$5,400.00
DataCore Systems	Data Core Sys	82%	$34,600.00	$8,900.00
QuickShip Logistics	Quick Ship Log.	79%	$29,300.00	$3,100.00

Obtain vendor master records for each flagged pair. Confirm whether similar vendor names represent the same entity, a legitimate subsidiary, or a potential ghost vendor. Verify address, tax ID, and bank account details for each.

VI. Authoritative References

Body	Reference	Topic	Status
FASB	ASC 405-20	Liabilities — Extinguishments of Liabilities	Current
FASB	ASC 450-20	Contingencies — Loss Contingencies	Current

VII. Conclusion

Based on the automated AP payment testing procedures applied, the AP payment register returned MODERATE flag density across the automated tests. Flagged payments warrant focused review, particularly high-severity findings.

Prepared using Paciolus Diagnostic Intelligence. Does not constitute an audit, review, or attestation engagement.

Limitations

This report was prepared using Paciolus Diagnostic Intelligence and is intended to support the professional judgment of the engagement practitioner. The procedures reflected herein are analytical and diagnostic in nature and do not constitute an audit, review, compilation, or attestation engagement as defined under AICPA professional standards or PCAOB auditing standards. Findings and observations require independent corroboration before conclusions may be drawn.

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Zero-Storage Architecture: All financial data was processed in-memory during this analysis session and was not persisted to any storage medium. No client financial data is retained by Paciolus after the analysis session concludes.

This memo documents automated AP payment testing procedures with reference to ISA 240 (Fraud), ISA 500 (Audit Evidence), and PCAOB AS 2401. Results represent data anomalies identified through analytics and are not conclusions regarding internal control effectiveness, fraud, or material misstatement risk. The auditor must evaluate each flagged item in the context of the engagement and perform additional procedures as necessary per professional standards. This memo does not constitute audit evidence sufficient to support an opinion without corroborating procedures. Generated by Paciolus — Zero-Storage Audit Intelligence.